AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

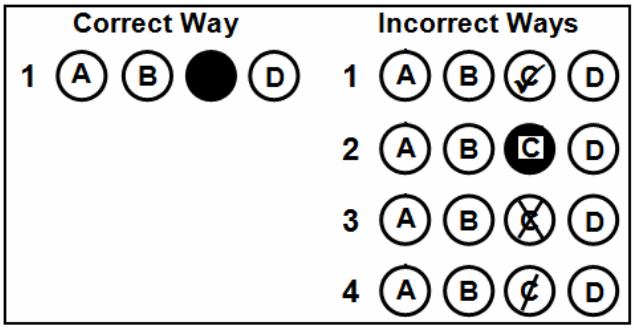
MAY 2013

Business Studies Paper I

Time: 35 minutes Marks: 25

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. Mr. Saleem, an ice-cream seller, has opened another branch of his ice cream parlour. Such a business growth is considered as

   A. internal growth.
   B. external growth.
   C. take over.
   D. integration.

2. Mr. Kashif would like to initiate a franchise of a famous fast food service chain. For commencing such a business a franchisor can offer him

   A. capital + use of brand name + trained staff.
   B. original idea + use of brand name + advertising and training.
   C. loan (financial assistance) + brand name + management.
   D. capital + enterprise + management.

3. Mr. Ali is basically a cloth merchant; however, recently he has also taken over a fast food restaurant. Such integration or business growth is known as

   A. horizontal integration.
   B. forward vertical integration.
   C. backward vertical integration.
   D. conglomerate integration.

4. The cement factory manufactures on the large scale using a continuous process of production. What method of production is the factory adopting?

   A. Job production
   B. On-time production
   C. Batch production
   D. Flow production

5. Mr. Ali is operating a bakery. He bakes bread for a renowned restaurant as per their taste, and each order is produced and furnished separately. Such a technique of production is classified as

   A. job production.
   B. batch production.
   C. flow production.
   D. online production.

6. The techniques used by businesses to cut down on waste and therefore increase efficiency, is known as

   A. lead time.
   B. lean production.
   C. stock management.
   D. inventory control.

7. Mr. Ali works in a tea manufacturing factory. He gets transferred from marketing department to finance department. This is an example of job

   A. enrichment.
   B. enlargement.
   C. rotation.
   D. mobility.

8. The workers of Zia Chemical Industries have some concerns about their working conditions. For highlighting such concerns, they have posted posters and standees at the entrance of the company and have protested for a few hours in front of the factory. This industrial action is classified as

   A. work to rule.
   B. strike out.
   C. non-cooperation.
   D. picketing.

9. The factory management of ABC Shoes decides that they will advertise their summer collection through outdoor marketing agencies by placing hoardings and billboards. Such management decision is considered as

   A. strategic decision.
   B. tactical decision.
   C. operational decision.
   D. personal decision.

10. Which of the following is an activity through which an organization receives inflow of cash?

    A. Creditors deposited cash into the business organization's account
    B. Purchasing goods as material for production
    C. Payment of wages or salaries
    D. Repaying loans or creditors

11. The following information has been extracted from the records of Al-Mehran Brothers.

    - Cash sales Rs.50,000
    - Stock purchase Rs.45,000
    - Credit sales Rs.40,000
    - Ending goods stock Rs.9,000 (at cost valued)

    The gross profit of the firm will be

    A. Rs.45,000.
    B. Rs.5,000.
    C. Rs.36,000.
    D. Rs.54,000.

12. The following are account heads at Al-Rahim Traders:

Cash in

Sale of goods	125,000
Received payment	15,000

Cash out

Purchase of equipment	45,000
Interest paid on bank loan	15,000
Wages paid to staff	5,000
Payment to creditors	12,500

The cash closing balance is

A. Rs.63,500.
B. Rs.77,500.
C. Rs.60,000.
D. Rs.140,000.

13. Which of the following is considered as an external source of secondary research?

A. Sales department's record
B. Finance department's cost analysis
C. Market research agencies report
D. Customer service department's record

14. Mansha group bought 51% of the shares of Adamjee Insurance Company and became the controlling authority of it and the company become a part of Mansha group of industries. This is an example of

A. synergy.
B. take over.
C. merger.
D. internal growth.

15. The policies concerned with decisions about government expenditures, its borrowings and taxation are called

A. fiscal policies.
B. trade policies.
C. monetary policies.
D. banking policies.

16. An amount of stock held as contingency in case of an increase in sales is considered as

A. optimum stock level.
B. buffer stock.
C. maximum stock level.
D. re-order level.

17. If Ferrari Motors produced 400 cars in 2010, and the number of the employees were 40, the labour productivity will be

    A. 0.1
    B. 10
    C. 40
    D. 400

18. The managers who believe that the willingness to work is mainly influenced by external factors, such as pay schemes, are inspired by

    A. theory of physiological needs.
    B. theory of social needs.
    C. theory X.
    D. theory Y.

19. The most extreme form of industrial action in which employees stop working for a period of time is

    A. picketing.
    B. lockout.
    C. strike.
    D. work to rule.

20. The structure in an organization which allows instructions to be passed down from senior management to lower levels of management is called

    A. chain of command.
    B. span of control.
    C. decentralization.
    D. delegation.

21. A manager having direct authority over people, decision and resources within the hierarchy of an organization is called a

    A. line manager.
    B. staff manager.
    C. senior manager.
    D. junior manager.

22. Samia owns 'Fine Foods,' a fine dining restaurant. She bought fresh food from a supplier for Rs.500 and sold it for Rs.300. What was her loss?

    A. Rs.200
    B. Rs.300
    C. Rs.500
    D. Rs.100

23. Which of the following is considered as ‘opportunity’ in SWOT analysis of a chocolate producing company?

A. Rise of sales in the domestic market
B. Business merger with a competitor to increase market share
C. Competition from the foreign markets
D. Creation of good brand image

24. Which of the following is NOT a part of marketing plan?

A. Targets set by the business
B. Aims achieved by the business
C. Employee’s benefit
D. Budget of the business

25. Imposition of tax on an imported product is called

A. export duty.
B. tariff.
C. embargo.
D. quota.

END OF PAPER

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